

## **The complaint**

Mr W complains UK Insurance Limited Trading as Direct Line Insurance (UKI) caused unnecessary delays in his claim on his home insurance policy.

There are several parties and representatives of UKI involved throughout the complaint but for the purposes of this complaint I'm only going to refer to UKI.

## **What happened**

Mr W made a claim on his home buildings insurance policy for storm damage to his house roof in November 2021.

UKI sent its contractor to inspect Mr W's roof and the claim was accepted. UKI appointed a builder to complete the roof repairs but Mr W said he did not want this contractor as they were general builders and not roofing specialists.

Although UKI did not agree that its builder wasn't suitable, it looked to appoint another builder that specialised in roofs. A different contractor attended to inspect the roof. This inspection found that in addition to the storm damage there was also pre-existing wear and tear issues with the roof. It incorrectly sent Mr W a letter to say his claim had been declined.

After Mr W brought this to UKI's attention, it apologised for its error and confirmed the claim had been accepted. UKI confirmed that after consideration of the second survey where it was found Mr W's roof was also suffering from wear and tear as well as the accepted storm damage, it would now offer a cash settlement for the storm damage repairs.

UKI offered Mr W a cash settlement for the storm damage. It also offered £100 compensation.

Mr W declined this as he wanted the repairs to be undertaken by UKI. He said due to the delays caused by UKI the condition of his roof had got worse. UKI said it was not responsible for all the delays but increased its offer of compensation to £150. This was to cover for the delays caused by it and communication issues.

As Mr W was not happy with UKI, he brought the complaint to our service.

Our investigator did not uphold the complaint. They looked into the case and said UKI had settled the claim within the terms and conditions of the policy. They said Mr W refused UKI's offer to undertake the work through its first contractors and so they thought the discounted settlement offer was fair. They said the compensation amount of £150 for the delays caused by UKI was in line with this service's usual approach.

As Mr W is unhappy with our investigator's view the complaint has been brought to me for a final decision to be made.

## What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

### **Settlement of claim**

I have considered if UKI acted within the terms and conditions of the insurance policy when settling Mr W's claim. I have looked to see if UKI have been fair in offering a cash settlement and if the amount offered was fair.

UKI accepted Mr W's claim for storm damage and a builder was appointed to undertake the work identified.

I looked at the policy terms and conditions and it says on page 12;

*"Section E, If you claim:*

*How we settle claims*

*If the buildings are damaged by any of the causes listed in [Section 1], we will either:*

- *repair or rebuild the damaged part using our suppliers*
- *pay to repair or rebuild the damaged part using your suppliers*
- *make a cash payment*

*If we can repair or rebuild the damaged part, but we agree to use your suppliers or make a cash payment, we will only pay you what it would have cost us using our suppliers and therefore the amount you receive may be lower than the cost charged by your suppliers.*

*If we cannot repair or rebuild the damaged part, we will pay the full cost of rebuild or repair. If the damage to the buildings isn't repaired or rebuilt, we may pay the difference between the market value of your property immediately before the damage and its value after the damage.*

*We may take off an amount for wear and tear if the buildings were not in a good state of repair at the time of the damage.*

On page 7 of the terms and conditions it says;

*"This policy doesn't cover*

*Just like most insurers we don't cover*

- *Wear and tear"*

At the start of his claim UKI gave Mr W the chance to be reimbursed by repair. It offered to repair the damage using its suppliers. I saw that Mr W rejected the repair by the appointed builder because they were general builders and not a specialist roofing company.

As Mr W was unhappy with the way UKI's contractors had handled his claim so far, UKI appointed a new contractor.

When attending to look at the damage to Mr W's roof the second contractor found that in addition to the storm damage the roof was also suffering from wear and tear.

Because of this UKI said it was only willing to offer a cash settlement. In this case the cash offer is £1,663.39.

The policy allows UKI to offer the cash settlement option, but we must be satisfied that the insurer's offer to repair or replace was fair to begin with. If not, then it hasn't actually offered to indemnify the consumer and so its offer is unfair.

In view of the wear and tear to the roof, UKI only wants to cash settle for the damaged area its own contractor would have repaired as claim damage and not the area that's suffering

wear and tear. So I think it's reasonable for UKI to offer a cash settlement to allow Mr W to get all the works done. Which might be less than the cost to Mr W. Insurers often have arrangements with companies that mean they can get things repaired/replaced for less than the market rate the consumer might pay. So there's a cost to the insurer, which could be different to the cost to the consumer.

It would be unfair for UKI to be forced to pay the cost to the consumer (which is usually more than the cost to the insurer) when it's already done what's required under the terms of the policy. In this case it offered a repair to the damage before making a cash settlement offer.

I've seen that Mr W provided three quotes from independent contractors all of which indicate pre-existing issues. None of the builders that provided quotes said they would take on just the storm damage repair. One said a full new roof was needed.

Therefore I do not uphold this part of Mr W's complaint and think that UKI have been fair in the cash settlement offer it has made to cover the storm damage element to the roof.

### ***Delays and errors with the claim***

The storm damage to Mr W's roof happened on 26 November 2021. UKI appointed contractors who went out to look at the damage. Mr W's claim was accepted and on 13 December 2021 a builder was appointed to carry out the repairs.

This is a period of less than three weeks from Mr W notifying UKI of his claim and UKI accepting the claim and making an offer. I think this is a reasonable period of time and do not think a delay had occurred.

On 14 December 2021 Mr W rejected the appointed builder. UKI's contractor tried to contact Mr W by phone without success. It did not follow up the unsuccessful phone call with an email. Mr W tried unsuccessfully to call back. UKI agreed there had been a lack of contact and paid him £50 compensation. Mr W's claim did not progress until he contacted UKI in January 2022 and it was found it had incorrectly closed his file.

I agree there was a short delay in progressing Mr W's claim between December 2021 and January 2022 that was caused by UKI and its contractors. But I cannot say all of the delay was caused by UKI.

In February 2022 the cash settlement was offered by UKI and it also offered a further £100 in compensation for errors made and the delay caused.

I do not uphold this part of Mr W's complaint. I think B offered fair compensation for the delays it caused.

### **My final decision**

For the reasons I have given I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr W to accept or reject my decision before 27 September 2022.

Sally-Ann Harding  
**Ombudsman**